IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-VI

Company Petition CAA-112/(PB)/2021

(Under Section 230, 232 of the Companies Act, 2013)

In the Matter of:

1.Vadehra Builders Private Limited

Registered Office at: D-40, Defence Colony,
New Delhi-110024

...Demerged Company/Applicant Company-1

AND

2.Vadehra Art Gallery Private Limited

Registered Office at:D-40, Defence Colony,
New Delhi-110024

...Resulting Company/ Applicant Company-2

Coram:
SH. P.S.N. PRASAD, Hon'ble Member (Judicial)
SH. RAHUL BHATNAGAR, Hon'ble Member (Technical)

Counsel for Applicant: Adv. Hitendra Mehta

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ORDER

Per RAHUL BHATNAGAR, MEMBER (TECHNICAL)

Date: 07.09.2022

1. This joint application has been filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of arrangement of the Companies. The copy of the Scheme of arrangement (hereinafter referred as the "Scheme"), has been placed on record.

2. The Demerged Company, Vadehra Builders Private Limited, was incorporated under the provisions of Companies Act, 1956 on 30.09.1983, having its registered office at D-40, Defence Colony, New Delhi-110024.

3. The Resulting Company, Vadehra Art Gallery Private Limited, was incorporated under the provisions of Companies Act, 2013 on 21.08.2019, having its

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registered office at D-40, Defence Colony, New Delhi-110024.

4. The petition discloses that initially the First Motion application, seeking dispensation from convening the meetings of Shareholders, Secured and Unsecured Creditors of the Applicant companies, was filed before this Tribunal, vide Company Application CA(CAA)102/(PB)/2021 and based on such joint application, moved under Sections 230-232 of the Companies Act, 2013, the Tribunal vide its order dated 18.11.2021 dispensed with the requirement of convening meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Demerged Company and Resulting Company.

5. The Applicant Companies were directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit dated 14.04.2022 affirming compliance and disclosing that the applicants have effected publication in 'Business Standard' English edition as well as in 'Navbharat Times'

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Hindi edition, both dated 15.12.2021. In addition to the public notice, notices were also served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department and to the other relevant sectoral regulators.

6. Pursuant to the notice issued to the Regional Director, RoC, they have filed their report and participated in the proceedings.

7. In daily order dated 04.07.2022, it was noted as follows, "Proxy counsel for the RD is present and submitted that they have no objection in the matter".

8. The Official Liquidator has filed its report dated 04.03.2022, wherein the following observations were made:

"That while going through the petition/and annexure thereto, it has emerged that the proposed scheme is with regard to demerger of a particular undertaking of the Demerged company into the Resulting company. Since the demerged company is not going to be wound up by the Liquidator, hence this office is of the view that

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no report /representation under section 232 of the Companies Act, 2013 and Rules made thereunder is desired on the part of this office."

9. Despite repeated opportunities, the Income Tax Department has failed to file its report. The Demerged Company as well as the Resulting Company, have filed an affidavit-cum-undertaking dated 21.06.2022 whereby they have undertaken to meet the tax liability if any demanded from them as per laws. Section 230(5) of the Companies Act, 2013 is attracted in this matter as the Income Tax Department has failed to submit its report despite several notices.

10. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

11. Certificates of respective Statutory auditors of all the petitioner companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of

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Demerger is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

12. The shareholders of the applicant companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

i. It has also been affirmed in the petition that the Scheme is in the interest of all the Demerged Companies and the Resulting Company, including their shareholders, creditors, employees and all concerned.

ii. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed

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Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, there appears to be no impediment in sanctioning the present Scheme.

A. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

B. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

C. Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit in accordance with law, against the concerned persons, directors and officials of the petitioners.

D. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any

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permission/compliance with any other requirement which may be specifically required under any law.

E. THIS TRIBUNAL DO FURTHER ORDER:

1. *That all the property, rights and powers of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company.*

2. *That all the liabilities and duties of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Company; and*

3. *That all proceedings now pending by or against the Demerged Company relating to the Demerged Undertaking, be continued by or against the Resulting Company; and*

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4. *That all the employees of the Demerged Company relating to the Demerged Undertaking in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Resulting Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Demerged Company on the said date.*

5. *That Petitioner companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking of the Demerged Company shall be deemed to be transferred: and*

6. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of on the above terms.

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Let copy of the order be served to the parties.

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(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

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(P.S.N. PRASAD)
MEMBER (JUDICIAL)